2. Periodic Payment of Premiums, Rent, etc.

After instruction from the customers, banks undertake the monthly payment of insurance premium, rent, telephone bill, etc. from the accounts of customers. Now a days these payments are made through electronic clearing system facility offered by the banks.

3. Collection and Payment of Cheques

On behalf of customers bank collect the cheques deposited into the accounts of customers from other banks and deposit cash in the customers' accounts. Similarly cheques issued by a customer is honoured and the amount paid as directed by the customer.

Definition of Cheque: According to Negotiable Instruments Act 1881, "cheque is a bill of exchange drawn on a specified banker payable on demand".

Crossing of Cheque: Drawing two parallel transverse lines on the left top of the cheque. It implies that the money will not be paid over the counter but through bank account only.

4. Acting as Executors, Trustees and Attorneys

Banks act as executors of will of the customers and implement their will after their death. As a trustee a bank takes care of the funds of the customers. Banker signs transfer deed of the properties of the customers in the capacity of attorney to customers.

5. Conduct Share Market Transactions

A Demat account should be opened with Depository Participant and that demat account should be linked with savings bank account by the customer. Then the customer can ask the bank to conduct online purchase or sale of securities, on behalf him.

6. Preparation of Income Tax Return

Banks prepare the annual income tax return on behalf of the customers and provide income tax related advices to them.

7. Dealing in Foreign Exchange

Banks buy and sell foreign currencies on behalf o customers.

8. Acting as Correspondent

Banks act as correspondent of customers and receive travel ticket, passport, etc.

II. General utility functions

In addition to primary, secondary and agency functions, commercial banks offer some services for the general welfare of the customers. They are called general utility services. They are as follows.

1. Issue of demand drafts and bankers' cheques

Demand drafts and Bankers Cheques are issued to public and customers as well. Instead of sending money they can attach these instruments for payment of educational fees, etc.

2. Accepting Bills of Exchange on behalf of Customers

Banks accept bills on behalf of customers and make payments to the foreign exporter. Afterwards, the banks collect from the customers.

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